# HOW TO TRUMP TARIFFS

**STEEP AMERICAN TARIFFS HAVE UPENDED INDIA'S EXPORT OUTLOOK, HITTING KEY SECTORS LIKE ENGINEERING GOODS AND AUTO COMPONENTS. CAN INDIAN COMPANIES CONVERT THE CRISIS INTO AN OPPORTUNITY?**

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**EVERYONE KNEW THE DREADED TRUMP TARIFFS WERE COMING,** but when they finally did arrive, there was mayhem all over. Equity and commodity markets crashed across the globe, major currencies fell vis-à-vis the dollar and talks of a global recession returned to the headlines. India, which less than two months ago had entered into a multi-sector partnership deal with the US—including plans to boost bilateral trade to $500 billion (Rs 43.4 lakh crore) by 2030—got away with relatively lower tariffs compared to some of its competitors like China and Vietnam. But that was hardly any solace. Across sectors, Indian businesses are busy assessing the damage the US tariffs could inflict—not just on their exports to the US, but also on markets worldwide that have been left rattled and could see slowing demand in the coming months. And though Trump has now given a 90-day respite, it has done little to alleviate the panic in the air, as industry associations huddle with government officials to gauge the depth of the impact and strategise for what promises to be a chaotic world trade scene.

In FY24, India exported merchandise worth $77.5 billion (Rs 6.7 lakh crore) to the US and imported $42.2 billion (Rs 3.6 lakh crore) worth from it, resulting in a $35.3 billion (Rs 3 lakh crore) trade surplus. With the US first imposing 25 per cent tariffs under Section 232 on steel and aluminium on March 12, followed by a similar tariff on auto and auto components on March 26, export figures in these sectors could take a big hit, as these tariffs remain in place. The engineering goods sector, which exported goods worth $17.6 billion (Rs 1.5 lakh crore) to the US last year and is among the most affected, is poised to lose business amounting to $5 billion (Rs 43,217.5 crore) this year. The immediate concern for many engineering goods exporters—most of them micro, small and medium enterprises (MSMEs)—is the three-month order pipeline worth $6-7 billion (Rs 51,860–Rs 60,504 crore). "For Indian exporters, despite the tariff pause in other sectors, the trust in the US has been lost," says Pankaj Chadha, chairman of the Engi-